

Exploiting Open Innovation and Collaboration

Chapter 11 — Managing Innovation

Presented by:

Bibek Ropakheti

Learning Objectives

By the end of this chapter, you will be able to:

- **Contrast** the principles of Closed Innovation vs. Open Innovation (Chesbrough).
- **Identify** the drivers forcing organizations to collaborate.
- **Evaluate** different forms of collaboration (Alliances, JVs, Licensing).
- **Analyze** the role of Users and Communities in the innovation process.
- **Understand** the management challenges of "Absorptive Capacity" and IP.

The Paradigm Shift

The "Knowledge Monopoly" of the 20th century is over.

Closed Innovation (Old)

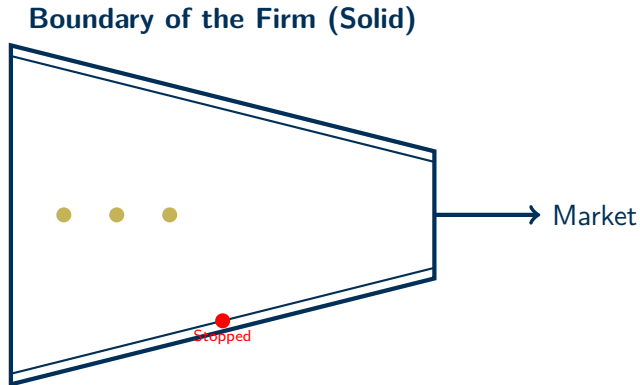
"We must hire the smartest people." "We must discover, develop, and ship it ourselves." "If we discover it first, we win."

Open Innovation (New)

"Not all smart people work for us." "We can buy/license technology from others." "We can let others use our IP if it doesn't fit our model."

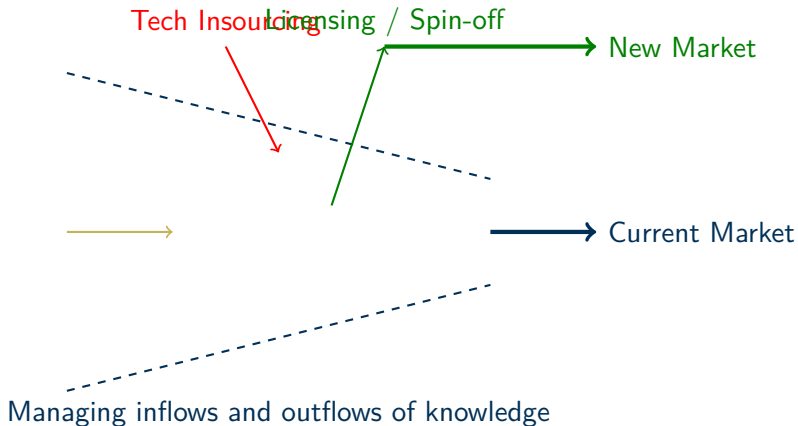
Closed Innovation Model

In the closed model, the boundary of the firm is solid. Projects enter one way and exit one way.



Open Innovation Model

The boundary is porous. Ideas flow in and out at various stages.



Why Collaborate?

Why has this shift occurred?

- **Technological Complexity:** No single firm can master all necessary technologies (e.g., a car requires software, battery chem, AI, and mechanics).
- **Mobility of Workers:** Knowledge "walks" out the door when employees leave.
- **Venture Capital:** abundant capital helps startups develop ideas that large firms miss.
- **Speed:** Buying/Licensing is faster than building from scratch.

The Spectrum of Collaboration

Collaboration is not binary; it's a continuum of commitment.



- **Weak Ties:** Good for scanning and search (Networking).
- **Strong Ties:** Good for transfer of complex/tacit knowledge (JV).

Innovation is not always "Producer-led."

Lead Users (Von Hippel)

Users who face needs months or years before the bulk of the marketplace. They often modify products to satisfy these needs.

Examples:

- **Open Source Software:** Linux, Apache.
- **Sports Equipment:** Mountain bikes, kite surfing.
- **Medical Tools:** Surgeons modifying instruments.

Crowdsourcing and the "Long Tail"

Using the internet to access the "Long Tail" of talent.

Mechanisms:

- **Tournaments:** (e.g., InnoCentive)
Posting a problem and offering a prize.
- **Communities:** (e.g., LEGO Ideas)
Users vote on designs.

Benefit

Access to "solvers" from different disciplines who bring fresh perspectives to intractable problems.

IP: From Protection to Currency

In Open Innovation, the role of IP changes.

Traditional View	Open View
A legal shield to prevent theft. Keep competitors out. "Protect and Defend."	A trading currency. Invite partners in. "Buy and Sell."

Example: ARM (licensing chip designs) or Tesla (opening patents to boost EV ecosystem).

The Challenge: Absorptive Capacity

Collaboration is useless if you cannot understand what you are finding.

Absorptive Capacity (Cohen & Levinthal)

The ability of a firm to:

1. **Recognize** the value of new, external information.
2. **Assimilate** it.
3. **Apply** it to commercial ends.

NIH Syndrome: "Not Invented Here" - the cultural resistance to external ideas is the biggest barrier to Open Innovation.

Summary:

1. Innovation is moving from a **Closed** (internal) to an **Open** (networked) model.
2. Collaboration forms range from simple **Networking** to complex **Joint Ventures**.
3. **Users** and the **Crowd** are powerful sources of innovation.
4. Success requires managing **IP** strategically and building **Absorptive Capacity** to fight NIH syndrome.

Thank You

Questions?